CONCALL TRACKER · Q1 FY27 CONTINUITY READ

Metropolis Healthcare Ltd

Screener ticker: METROPOLIS · BSE 542650 · Prepared 6 Nov 2026 · Builds on the Q4-2026 report (12 calls, Q2 FY24 to Q4 FY26) and deep-reads the Q1 FY27 call (5 Aug 2026) plus the Investors & Analyst Meet (27 Aug 2026)

1. Snapshot: what the company is

Metropolis runs one of India's big **diagnostics (medical testing) chains**: labs and collection centres where patients get blood and other tests done, plus testing it does for hospitals and smaller labs. It earns more when patients move from small local labs to trusted brands, when it reaches smaller towns, and when doctors send it pricier specialist tests (cancer, genetics) and wellness packages. *B2C* = tests sold straight to patients; *B2B* = tests done for hospitals and other labs.

₹450 cr

Q1 FY27 sales (April to June 2026), up about 17% on a year ago, ahead of the 14-15% guidance. Q1 is normally a soft quarter.

25.2%

Q1 operating margin (EBITDA, profit before interest, tax, depreciation, as a share of sales). Up from about 23% a year ago, so roughly ₹2 more kept per ₹100 of sales.

₹57 cr

Q1 net profit, up 26%. Profit grew faster than sales, which is what operating leverage looks like.

10% / 11%

Growth in patients and in tests. Most of the sales growth came from more people walking in, not price hikes. There's been no price increase since January 2025.

27-28%

Margin target for FY28, repeated on both calls, with a 1-1.5 point lift expected in FY27 itself. This is the number it has missed for years.

750 towns

Where it now operates. Plan is to go deeper in these towns (about 500 more centres this year) rather than open new ones.

Figures are consolidated, as given on the Q1 FY27 call. Market value is not quoted because this report is capped at information available by 30 Sep 2026.

2. Concall coverage: what was read

This is a continuity report. Twelve calls from Q2 FY24 to Q4 FY26 (including the Dec 2024 Core Diagnostics special call) were read for the Q4-2026 report and are carried forward as backstory. Two new events were deep-read: the Q1 FY27 earnings call and a longer Investors & Analyst Meet held three weeks later. Speakers: promoter-chairperson Ameera Shah, MD Surendran Chemmenkotil and CFO Sameer Patel.

Quarter(s)	Call date	Transcript read?
Q2 FY24 to Q3 FY26 (11 calls)	Nov 2023 to Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	14 May 2026	Read for the Q4-2026 report
Q1 FY27 earnings call	**5 Aug 2026**	**Newly deep-read in full ★**
Investors & Analyst Meet	**27 Aug 2026**	**Newly read (strategy and targets) ★**

★ Latest concall highlights: Q1 FY27 (call held 5 Aug 2026)

- **Beat its own guidance.** Sales up 17% to ₹450 cr against a 14-15% full-year guide; profit up 26%. Patient volumes rose 10% and test volumes 11%, with no price hike. Plain read: real demand, not pricing.
- **The margin finally moved.** 25.2%, up 2.1 points, despite pulling staff pay rises forward from July to April. Management expects a 1-1.5 point lift for FY27 and repeats 27-28% over FY27 and FY28.
- **Core Diagnostics a year on.** Its genetics tests have doubled, North India is now 18% of company sales (from single digits before), and management says the price paid works out to about 10 times the EBITDA Core should earn in FY27, cheap for a turnaround.
- **Network cleanup.** Added 300 centres in Q1 but shut about 300 weak ones too. Plan is a net 500 more this year inside existing towns, and lab expansion has been paused to protect margins.
- **Tone: confident, guidance held.** Kept 14-15% growth for the year (excluding acquisitions) even after a 17% quarter. At the August investor meet it added 100 "mini hubs" with basic radiology (X-ray, ultrasound, echo) as a new leg.

2c. Business mix & capacity (quick glance)

Item	Latest figure	Plain read
Domestic vs export	India almost all · small Africa business	International labs (five African countries, leader in two) aren't broken out as a share; India is the business. By region in India: West about 50%, South 27%, North 18%, East 5%.
B2C vs B2B	B2C grew 18% · B2B grew 15%	Direct-to-patient is the larger, higher-margin side and is still growing faster.
Test mix	Specialty 40% · TruHealth wellness 18% of sales	Pricier tests are a big chunk; target is to lift specialty to 45%.
Capacity use	About 24 collection centres per lab, aiming for about 30 by year-end	Plain read: more samples per lab is how margins rise, and that's why new lab openings are on hold.

★ Since our last report

Builds on the Q4-2026 report (boundary call 14 May 2026). Prior verdicts: **Trigger YES**, **Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Steady organic growth near 12% from the shift to branded labs and smaller towns, plus acquisitions; the headline was boosted by buying labs.	17% in Q1 with Core already in the base, so most of this growth is the existing business. Volumes, not prices, drove it.	Improving
Consistency: MAYBE	Strategy steady, but the 26-27% margin target kept slipping and organic growth ran under the 13-15% guide.	First quarter in a while that beat guidance on both growth and margin. Margin target restated at 27-28%.	Improving
Promise: margin step-up	Stuck around 24% for years.	25.2% in Q1; FY27 guided up 1-1.5 points; 27-28% over two years.	On-track (needs more quarters)
Promise: Core Diagnostics payback	Should add to earnings per share from FY26.	Now profitable, genetics doubled, North India up to 18% of sales, integration in its final leg.	Confirmed

Verdict change this quarter: Trigger stays YES. Consistency stays MAYBE: one strong quarter on margin is a good start, but this is the target that slipped for years, so it needs FY27 to actually land at the guided level before an upgrade.

★ 3. Earning-trigger thesis: the headline

More patients through the same labs. India's testing market is still mostly small local labs; Metropolis grows by winning those patients, going deeper into 750 towns it already serves, and selling pricier specialist and wellness tests. Because labs are already built, each extra sample adds more to profit than to cost, which is why the margin finally rose in Q1. Core Diagnostics added cancer and genetics testing and a North India foothold, and that's now feeding the rest of the network.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Shift to branded labs + small towns	Medium-term 14-15% growth, about 9-10% from patient volumes, without price hikes.	Q1: patients +10%, tests +11%, sales +17%; rural centres +36%.	Multi-year	Strong	↑ Improving: beat guide
Specialty + TruHealth wellness	Lift specialty share from 40% to 45%.	Specialty +17%, TruHealth +22%; premium wellness packages +50%.	Now	Strong	Unchanged
Operating leverage / margin	+1-1.5 points in FY27; 27-28% over FY27-FY28.	Q1 margin 25.2%, up 2.1 points; lab openings paused.	1-2 yrs	Moderate: first real sign	↑ Improving
Acquisitions (Core, Agra, Dehradun)	Bolt-on deals at disciplined prices; open to bigger ones if EPS-accretive.	Core profitable, North India 18% of sales; Agra and Dehradun tracking ahead.	Ongoing	Moderate-Strong	Unchanged
Radiology mini hubs	About 100 centres to add basic radiology.	Announced at the Aug investor meet; nothing in numbers.	FY28+	Unproven	New

4. Management consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
Organic growth (FY25-FY26)	13-15% a year.	Ran about 12% (carried forward).	Partly
Margin to 26-27% (FY24 onward)	Within 2-3 years.	Stuck near 24% through FY26; 25.2% in Q1 FY27; target now 27-28% by FY28.	Slipped, now moving
Core Diagnostics	Accretive from FY26, genomics platform, North India entry.	All three showing up.	Delivered
Network expansion	Add centres every quarter.	Done, with a cleanup of about 300 weak centres.	Delivered
FY27 guidance	14-15% growth, +1-1.5 points margin.	Q1 ahead on both.	Too early

Narrative drift. Same story it has told for years: branded labs, smaller towns, specialist tests, careful acquisitions. The tone has shifted a little from "investing" to "harvesting": lab openings are paused, weak centres closed, and the talk is about productivity and margin. The margin target itself has quietly moved up from 26-27% to 27-28% while the deadline moved out to FY28, so the number to judge them on is still in the future. Radiology mini hubs are a new idea that could mean fresh spending.

5. Bottom line: the two verdicts

Durable earning trigger? → YES · vs last quarter: unchanged

Stronger than last time. Q1 growth came from more patients and tests with no price increase, and from the existing business rather than new acquisitions. Specialty and wellness tests keep growing faster than routine ones. The risk is that one strong quarter in a soft season flatters the picture; management itself kept the full-year guide unchanged.

Management consistent? → MAYBE · vs last quarter: unchanged

Better quarter, same verdict. Strategy and acquisition execution are reliable, and Q1 beat guidance. But the margin goal has been promised for years and was pushed to FY28 while being nudged higher, so the record on numbers still needs FY27 to land. If the year closes near the guided margin, this becomes a YES.

Concall-Tracker report · Metropolis Healthcare Ltd · sources: Q1 FY27 earnings-call transcript (5 Aug 2026) and Investors & Analyst Meet transcript (27 Aug 2026), via Screener.in, plus the Q4-2026 Concall-Tracker report for earlier calls. Coverage capped at calls held up to 30 Sep 2026. EBITDA = operating profit before interest, tax, depreciation. Not investment advice.